

Online banks have become a popular alternative to traditional banks in recent years. An **online bank** exists online and allows customers to handle their banking needs with only a computer or mobile device, whereas a **traditional bank** is probably what you think of when you picture a bank: Wells Fargo, Chase, Bank of America, and so forth. Online banks still offer products and services like checks, automated teller machines (ATMs) and debit and credit cards, but you don't go into a physical bank to get them. Because online banks are cheaper to operate, they typically can offer better interest rates and lower (or zero) maintenance fees. **Maintenance fees** are what the bank charges you simply for having an account with them. I personally do all my banking with online banks, because I hate fees and love being paid better interest rates. With online banks, you should take extra safety precautions to keep your funds safe: do not use public Wi-Fi for banking, change your passwords regularly, use a reputable bank, and sign up for text alerts to help you monitor your account's activity.

There are situations where an online bank is less convenient than a traditional bank. For example, if you are in a situation where you need to withdraw a large amount of cash, it will be difficult with an online bank because you will need to use an ATM, and ATMs have daily limits on the amount you can take out. Also, having a large amount of cash that you need to deposit into your account can be problematic with an online bank, because there is no physical branch you can walk into to deposit the money.

Another alternative to traditional banking is a credit union. **Credit unions** operate very similarly to traditional banks, and offer the same major services (checking, savings, credit, et cetera), but are different in that they are not-for-profit, owned by their members, and typically catered to certain professions. For instance,